

Report Assistant - Report Breaks

Break Keys

- SUPPNO
- PAY_DATE

☒ Count records in break

☒ Show break line

☒ Show leading break

Break spacing: 3 Lines

☒ Break on this field

☐ Show shading

Text: ...

Background: ...

Font

Fields to Total

- ☒ AMOUNT
- ☒ CHECK
- ☒ PAY_DAYS

☐ Show shading

☐ Use currency symbol

Text: ...

Background: ...

Font

< Back Next > Finish Cancel Help

8. Create grand totals for the **AMOUNT** field and set the font to bold. Click **Next**.

Report Assistant - Grand Totals

Select the fields to total:

- ☒ AMOUNT
- ☐ CHECK
- ☐ PAY_DAYS

☒ Show shading

☒ Use currency symbol

Text: ...

Background: ...

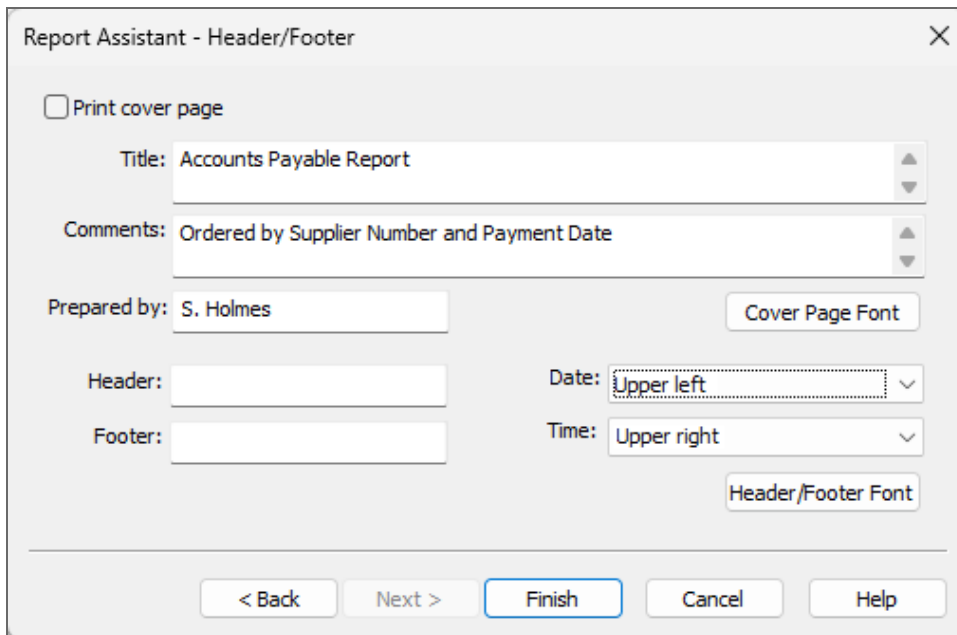
Font

< Back Next > Finish Cancel Help

Grand totals can be included whether break totals were requested or not. You can alter the appearance of the totals and include currency symbols.

9. Select the **Print cover page** option and enter appropriate headings.
- **Title:** Accounts Payable Report
 - **Comments:** Ordered by Supplier Number and Payment Date
 - **Prepared by:** Enter your initials (or accept the default user name)

- **Header:** Enter your organization's name
- **Date/Time:** Leave defaults unless you have preferences



10. Click **Finish**.

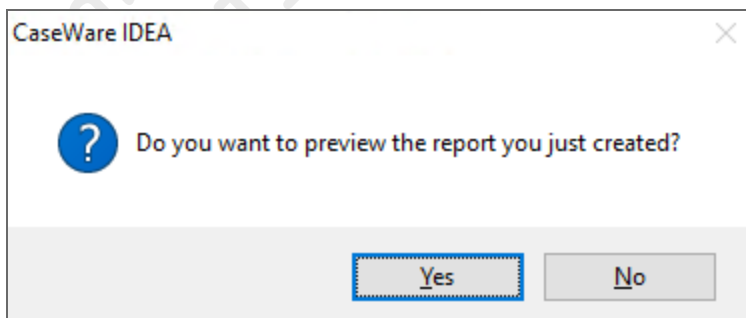


You will not see any changes on the screen. The options you have selected/changed affect how the view will be printed.

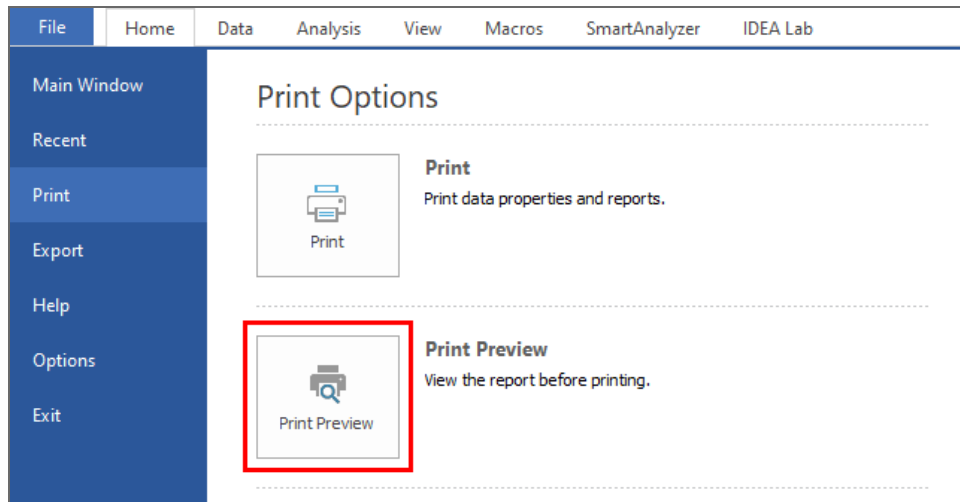
5.3 Print Preview and Print the Report

5.3.1 Print Preview

1. Once the report has been created using the **Report Assistant**, you will be prompted to preview the report created. Click **Yes**.



Alternatively, click **No** and then on the **File** tab, click **Print Preview**.



2. If prompted, reduce the font size to fit to page.
3. View the report, toggling between a single page and two pages.
4. Zoom in to view the report in detail.
5. Check that all settings, including field widths, are correct. Adjust any settings, if necessary.

 If you wish to print the view, click the Print button on the Print Preview window.

6. Close the **Print Preview** window.
7. On the **View** tab, in the **Views** group, click **Save** to save the view of the database. Select and save the view as **Accounts Payable.vw2**.

 If column widths in the database report are too narrow, the field contents are displayed as follows:

- **Character field:** Text is truncated from the right
- **Numeric field:** Contents displayed as #####
- **Date field:** Dates are truncated from the right

Field widths can be adjusted in the **Data** property before printing, if necessary.

5.3.2 Printing the Report

Within IDEA, the data and the following reports can be printed and used for testing, reviewing, audit reports, or for audit working paper documentation.

- Database window
- **Database** view — the data in the current format.

- **History** view — the History log (for review and documentation).
- **Field Statistics** view — the statistics for each Numeric and Date field in the database.
- **Results** views — which holds the reports for the following tests:
 - Stratification
 - Summarization (optional)
 - Aging
 - Gap Detection
 - Sampling
 - Chart Data
 - Benford's Law
 - Pivot Table
 - Correlation
 - Trend Analysis
 - Time Series
- Macro window
- IDEAScript - the source code for any scripts.

IDEA uses standard Windows print routines and will recognize all printers and fonts installed through Microsoft Windows.

Many reports and views may also be printed through the **Print Preview** option, either through the **File** tab, **Report Assistant**, or if a **Print Preview** button is available on the view's toolbar.

Before selecting the print option, ensure the printer options have been correctly set through **Print Setup**.

Select the required **Database**, **History**, or **Results** output to be printed then click the **Print** button on the view's toolbar (if applicable), or on the **File** tab, click **Print**.

The **Print** dialog box will be displayed. Specify the print options required.

It is important when printing a report, to also print the **History** and attach it to the database report for review.

5.4 Re-Run a Task

The **Re-run** task is used to re-run the last task (e.g., **Extraction**, **Stratification**, **Summarization**, etc.) with different parameters. This is particularly useful for correcting errors or alternate scenarios.

When running a task in IDEA, the dialog box settings are saved. When **Re-run** task is selected, the dialog box is populated with the saved settings. A numeric suffix is added to the result or database names. Any or all parameters may then be modified as required to re-run the test.

A task may also be re-run from the **IDEAScript** code stored in the **History** log of the database.

To re-run a task, ensure the resultant (child) database created from the task is the active database then re-run the task on any parent database using the following steps:

On the **Analysis** tab, in the **Tasks** group, click **Re-run**.

The task dialog box with the parameters for the last test will be displayed. Modify any parameters as required and then click **OK** to re-run the task.

The **Re-Run** task can also be used to re-do an import.

5.5 Housekeeping

IDEA creates databases from most tasks with the consequence that the list of databases builds up quickly. Therefore, housekeeping routines (including backing up data and deleting unwanted files) are important when working with IDEA.

Housekeeping functions such as deleting and renaming databases are carried out from within IDEA. However, functions such as backing up and restoring databases are carried out through the Windows File Explorer.

5.5.1 Managing Project Folders and Project Properties

All the files relating to one project/audit should be kept in a separate project folder. This makes it easier to locate and manage the files and reports relating to an audit and reduces the risk of overwriting files. It is also easier to back up all the files pertaining to each audit once it is complete.

The folder can be created using Microsoft Windows File Explorer or through the **File Explorer** window in IDEA. Also, IDEA will automatically create a folder when the **Managed projects** is selected.

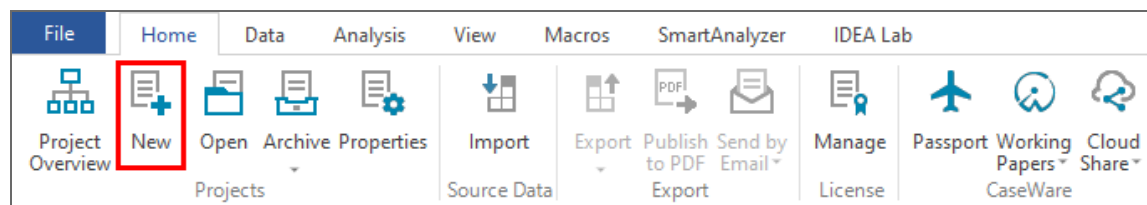
It is not necessary to store the original databases/files to be imported in this folder, but it is recommended that the files be stored under the **Source Files.ILB** folder. Any databases generated by IDEA will be stored in this project folder.

Once the project has been created, it is necessary to enter project information within IDEA. This information will then be printed on all reports.

Creating a New Project Folder and Enter Project Properties

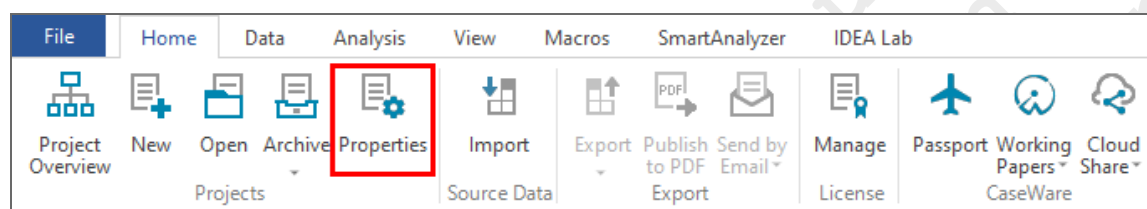
Create the new project, as done in previous exercises of the Workbook.

Create the required project and enter the appropriate project information in the **Project Properties** dialog box.



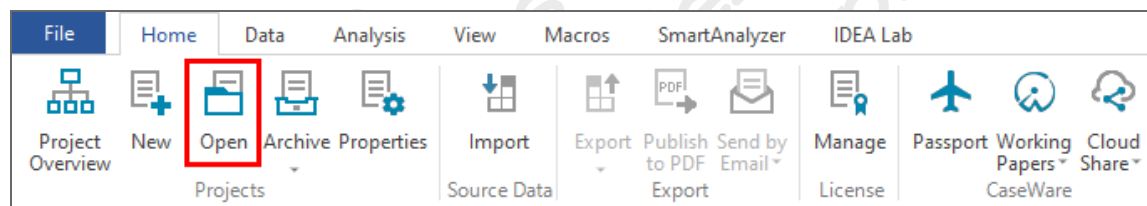
Modifying the Project Properties

To modify the project properties, on the **Home** tab, in the **Projects** group, click **Properties**. Make any necessary changes and click **OK**.



Opening a Project

To work with another project, on the **Home** tab, in the **Projects** group, click **Open**. If any databases are open in the current folder, you will be asked if you wish to close these before opening the new project.



Once project is set, it remains the active project until changed.

5.5.2 Backing Up/Restoring Data Files

You may wish to backup files for a variety of reasons (i.e., to transfer files to another computer, to backup files according to risk/criticality of data, or because of disk space restrictions).

IDEA uses a single compound file with and IMD file extension to store all the information associated with a file, including the data, the schema, the **History** log, notes, indices, and test reports.

Each of these files will be stored in its project folder as specified from the File menu. However, the view files, equation files, definition files, and any text files created are not stored within the compound file. Files are stored as follows:

FILE	FOLDER	NAME
Data and related files	Project folder	Filename.imd
Views	Other.ILB folder	Viewname.vw2
Equations	Equations.ILB folder	Equationname.eqx
Record definitions	Import Definitions.ILB folder	Filename.rdf
Print Report templates	Results.ILB folder	Filename.jpm
Project information	Project folder	Client.inf
IDEAScript source code	Macros.ILB folder	Scriptname.iss

Use File Explorer or any other backup facility to back up the required files.



Use compression utilities, such as WinZip or 7-Zip to compress the file before backing it up to reduce the file size.

5.5.3 Using the File Explorer

Databases can be accessed and managed through the **File Explorer** window. The **File Explorer** window displays a list of available IDEA databases (<filename>.imd) in the selected project. This is a movable, dockable window and may be resized to display the following information about all IDEA databases:

- File name
- Number of records
- File size
- Date and time of last modification
- Date and time of creation

From the **File Explorer** toolbar, you can access several tasks that let you manage the databases and change the displayed information.

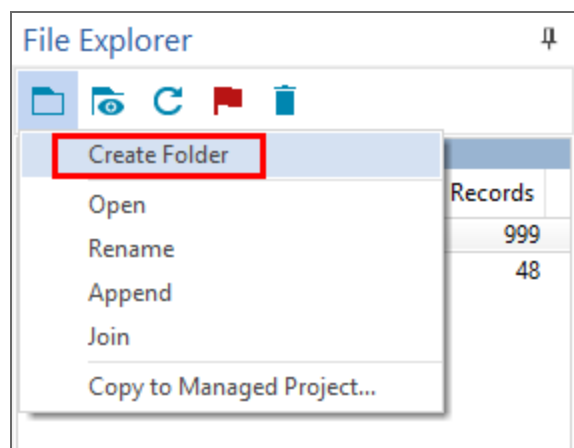
Button	Name	Description
	File Management	Contains tasks that let you create sub-folders and open, copy, move, rename, append and join databases.
	File Display	Contains tasks that let you change how your files are displayed in the File Explorer.

Button	Name	Description
	Refresh List	Updates the database list.
	Flag File	Adds a flag to the selected database to highlight its importance.
	Delete	Deletes the selected databases and folders.

You can also right-click on databases in the **File Explorer** window to access more tasks.

Creating a Sub-folder in the Project

You can use the **Create Folder** command in the File Explorer to create a new folder to organize displayed databases.



To create a new sub-folder within the current project folder:

1. From the **File Explorer** toolbar, click the **File Management** button  and then click **Create Folder**.

The **Create New Folder** window appears.

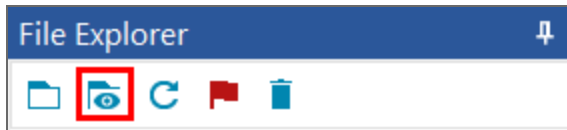
2. Enter a name for the new sub-folder, and then click **OK**.
3. Drag databases displayed in the **File Explorer** into the new folder.

IDEA displays the moved databases as sub-directories of the folder in both flat and tree views.

Showing the Databases as a Hierarchy

By default, databases in the **File Explorer** are displayed in a hierarchy, showing the parent - child relationship between databases. Each parent database node may be expanded to show the child databases or collapsed to the parent level, as required.

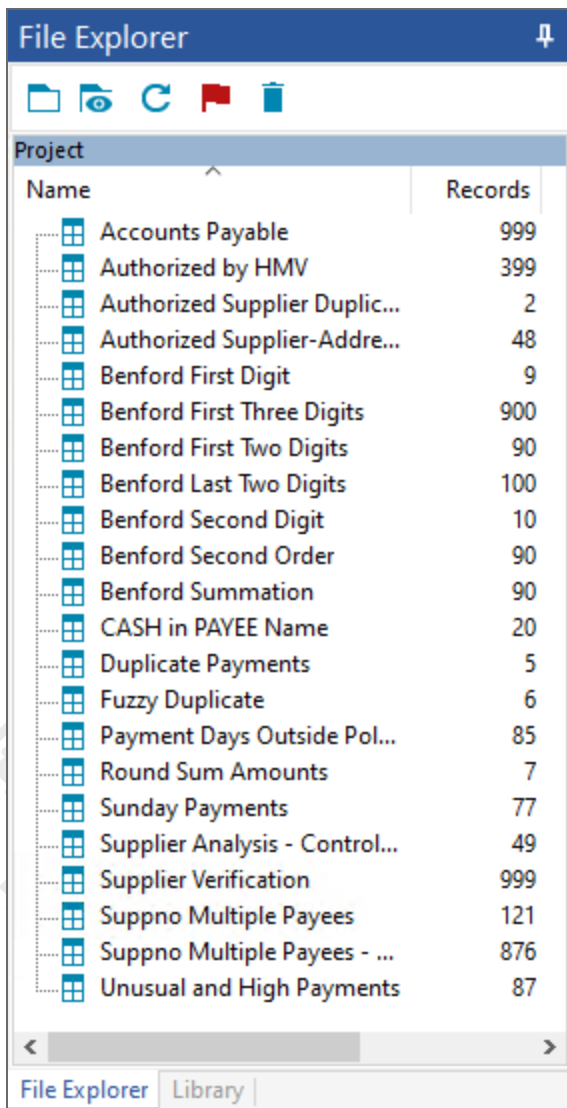
If you do not want to view the databases as a hierarchy, from the **File Explorer** toolbar, click the **File Display** button and then click **Show Hierarchy** to clear the selection.



Changing the Sorted Order

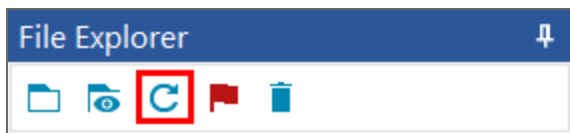
When the **Show Hierarchy** is turned off, the databases may be sorted by any information parameter in the **File Explorer** window, such as by file name or file size.

Click the **Show Hierarchy** button. Double-click the heading bar of the parameter to sort the databases in the ascending order. Double-click the heading bar again to sort the databases in descending order.



Refreshing the File Explorer

To update the IDEA **File Explorer**, from the **File Explorer** toolbar, click the **Refresh List** button or press the **F5** key.



5.5.4 Deleting Data Files

If a database is no longer required, it can be deleted to optimize disk space. You cannot delete an open database; however, you can use the active database.

Deleting the Active Database

1. On the **File** tab, click **Database**.
2. On the **Database** page, click **Delete Database**.
3. Click **Yes** to confirm the deletion.

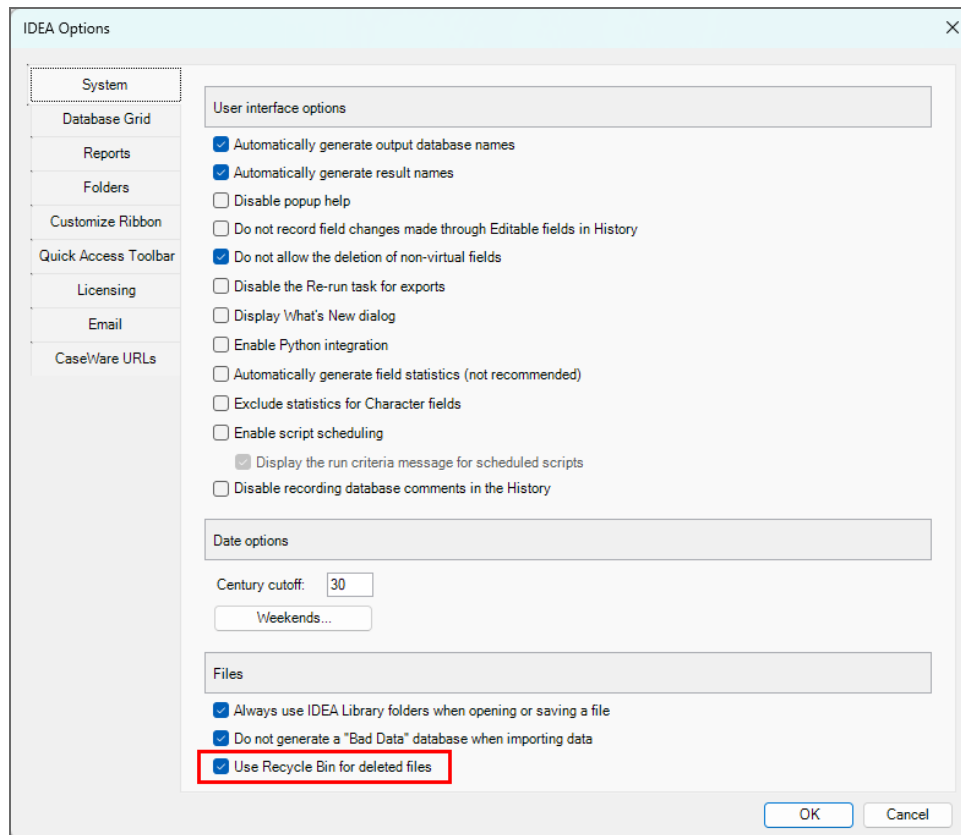
Deleting Selected Databases

1. Ensure all databases are closed.
2. In the **File Explorer** window, expand all nodes to display all databases.
3. Select the databases to be deleted.
4. From the **File Explorer** toolbar, click the **Delete** button.



5. Click **Yes** to confirm the deletion.

If you want to use the Recycle Bin when deleting files, ensure the option is selected in the **IDEA Options** dialog box. You can access the IDEA Options dialog box on the **File** tab.



If deleting a database that does not reside on your local machine, but on a server, it is moved to the recycle bin.

Deleting Other Files

Use the **Delete** command in the **Library** window to delete other files, such as record definitions, views, and equations.

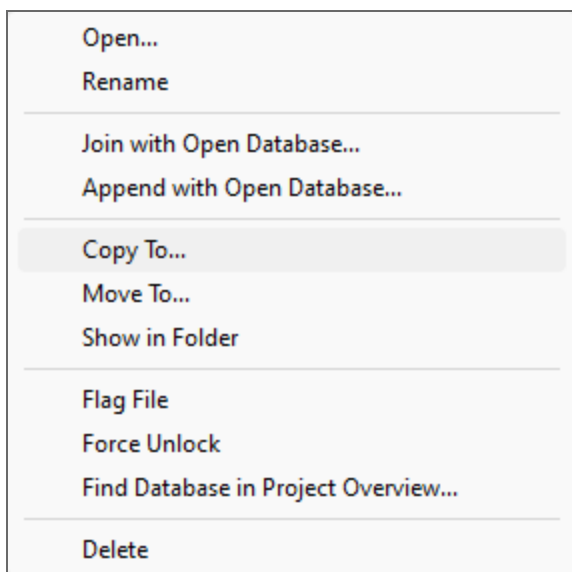
5.5.5 Copying Data Files

It is sometimes necessary to have the same database in two different project folders. IDEA allows databases to be copied to multiple project folders.

To copy one or more selected databases to another project folder:

1. In the **File Explorer** window, right-click the required database and click **Copy To....**

To select multiple database, use the Ctrl or Shift key while selecting.



The **Browse For Folder** dialog box appears.

2. Navigate to and select the required folder.
3. Click **OK**.

5.5.6 Moving Data Files

To move one or more selected databases to another project folder:

1. In the **File Explorer** window, right-click the required database and click **Move To....**

To select multiple database, use the Ctrl or Shift key while selecting.

The **Browse For Folder** dialog box appears.

2. Navigate to and select the required folder.
3. Click **OK**.

5.5.7 Renaming Databases

Database names may be changed and recorded in the **History** log.

To rename a database:

1. Make sure the database is closed.
2. Click on the database name in the **File Explorer** window.
3. Edit the database name as required when the editing option becomes available.

Alternatively, right-click on the selected database name in the **File Explorer** window and select **Rename**.

5.6 Review and Housekeeping

Standards should be set for the use of IDEA. These may vary from organization to organization depending on the usage of IDEA and the existing procedures, style, and culture of the organization. However, they should include:

- Objectives
- Required documentation
- Reconciliation/checks on files imported
- Review of work done
- Security
- Backup of work
- Housekeeping

The range of tests available within IDEA is so wide that a considerable amount of time and effort can be wasted on irrelevant tests if objectives are not set. It always pays to know what needs to be achieved.

Documentation depends on an audit department's procedures but should cover all the points listed above, perhaps with standard schedules for reconciliation, file details, and review.

Most files can be matched to known control totals. These may be record counts, totals of certain financial fields, or slightly more complex analysis of certain fields. In addition, it is suggested to match each field in a selection of records with screenshots or printouts to check that they have been imported correctly.

Mistakes can be made in using IDEA as with any technique. Hence, the work should be reviewed. Review procedures are often compliance based, checking that documentation is complete and that reconciliations have been carried out.

IDEA maintains a **History** log of all operations carried out on a database, including its import and each audit test. It produces a linear log so that the process of how the database was created can be traced. The **History** log cannot be modified or deleted.

The most common errors are:

- Incorrectly specified formula
- Joins with primary and secondary databases performed incorrectly
- Incorrect join method used (there are five join methods)
- Incorrect fields totaled on summarization
- On complex work involving several steps, performing joins, summarizations, and extractions completed in the wrong order

These can all be verified on a printed (or electronic) copy of the **History** log.

The **History** log is contained within the database's IDEA Merged Document (<filename>.imd).

5.6.1 Viewing the History Log of a Database

1. From the **Properties** window, click **History**.
2. Each test or function is displayed in a collapsed node with its title, date and time, and the user name.
3. Expand out a node to view its details by clicking on the plus button.
4. On the **History** toolbar, click the **Expand All Details** button to expand out all node.
5. Click the minus button to collapse a single node.
6. On the **History** toolbar, click the **Collapse All** button to collapse all nodes.
7. To print the **History** log, on the **File** tab, click the **Print** tab and then click the **Print** button. The **History** log is printed as displayed, either collapsed or expanded.

5.6.2 Adding a Comment to the Database

The Comments option is used to add a comment to the active database. It may be used to:

- Annotate the audit steps, explaining the objective
- Explain results
- Add review points
- Attach any documentation that can be cut and pasted into the comment

To add a comment:

1. Click the **Add comment** link in the **Comments** area of the **Properties** window.
2. Enter your comment and then close the **Database Comments** dialog box.
3. View the comment in the **Comments** area of the **Properties** window.

To delete a comment:

1. Right-click the comment link in the **Comments** area of the **Properties** window.
2. Select **Delete comment**.

5.6.3 Accessing Project Overview

The **History** feature shows the actions taken to receive the database results. Project Overview is a graphical overview of the actions performed within a project folder, including the creation, deletion and modification of databases. Project Overview records all database interactions and shows the complete history of what has transpired within the Working Folder. In the graphical format of Project Overview, IDEA allows you to create a Visual Script or IDEA Script macro. A table view format is also available.

To access Project Overview:

On the **Home** tab, in the **Projects** group, click **Project Overview**.

Alternatively, in the **File Explorer** window, right-click on the database and click **Find Database in Project Overview....**

5.7 Managing the Use of IDEA

To get the most out of IDEA it needs to be used for an appropriate purpose and its use kept to the objectives. There may be an initial cost in downloading data. The payback depends on the audit objectives and scope.

In managing the use of IDEA, the following issues need to be considered:

- Check that the planning has identified a series of good objectives. These may be analysis work, exception tests, duplicates, matching or any of the tests that IDEA will perform.
- Check that work is not being duplicated. If IDEA is being used, then it is likely that some manual work or tests can be dropped (unless IDEA is being used for new or additional exercises).
- The time to be spent on using IDEA should be budgeted. The time to perform tests and create reports is relatively brief. What can take considerable time is follow-up on items in the reports.
- In addition to audit purposes, IDEA can generate several very useful reports for management. The auditee's needs should be considered and any extra value that can be obtained added.

Another consideration is compliance with all relevant legislation. Some countries have laws regarding the use of data, notably personal data, such as Canada's Privacy Act. Therefore, care needs to be taken that no legislation is being breached.

Section 6



Other Uses of IDEA

6.1 Introduction

After the completion of the year-end audit, the client was very satisfied with your work in the previous sections. They were especially pleased with the computer-assisted audit techniques used in the engagement.

The client is planning on engaging your firm to assist them with implementing IDEA within their organization. However, before they plan to pursue this strategy, the client wants to know what other tests can be completed within the organization.

This section summarizes other uses of IDEA that could be considered.

6.2 Case Scenario: Other Uses of IDEA

The client wants to know what other tests can be completed within the organization. Some areas that they are specifically interested in are:

- **Sales transactions:** The client recently implemented a new billing system that connects to the existing inventory system. The sales managers are concerned about the billing process. Based on their analysis of the financial statements, there seems to be a discrepancy between the increase in inventory and sales revenue.
- **Travel expenses:** Sales personnel can expense amounts related to travel for all trips made outside their designated areas. Travel expenses have been increasing and the CFO would like an explanation.
- **Payroll:** The client has rolled out a plan to offer early retirement to certain employees. The company is interested in costs savings and ensuring that the company retains sufficiently qualified personnel within their departments. The company is also concerned about complaints that they have received from their employees regarding their bonuses. The bonus is calculated based on seniority, number of days absent, and the employee's annual evaluation score.
- **Security:** As part of its monitoring of its security practices, management wishes to assess the company's controls over access to the system and related data.

The company has approached you for advice on tests that could be done using IDEA to address these issues.

6.3 Other Potential Tests

6.3.1 Sales Transactions

Mechanical Accuracy and Valuation

The following tests could be conducted:

- Total, sub-total by period, category, and division.
- Check sales tax treatment.
- Check discounts offered for adherence to company policy.
- Check commission sales for compliance with company policy.

Analysis

The following analyses could be conducted:

- Summarize sales by period, category, division, and so on.
- Summarize sales returns by period, category, division, and so on.

Existence and Validity

The following tests could be conducted:

- **Exception testing:** Analyze sales transactions, isolating unusual transactions for review.
- **Statistical sampling:** Select a statistical sample for compliance testing of attributes such as approvals and supporting documents.
- **Duplicates testing:** Test for duplicate sales entries.

Completeness

The following tests could be conducted:

- **Gap detection:** Test the sales files for missing invoice numbers.
- **Matching:** Reconcile sales invoices, customer orders, and shipping notes.

Identify goods shipped, but not invoiced. This can be achieved by a 3-way match using the common key between the documents (e.g., purchase order number).

Cut-off

The following test could be conducted:

- Check sales cut-off by checking shipment date and/or input date.

6.3.2 Travel Expenses

Mechanical Accuracy and Valuation

The following test could be conducted:

- Total, sub-total by period, category, and division.

Analysis

The following analysis could be conducted:

- Summarize expense claims by employee and determine if some employees have unusually high totals.

Existence and Validity

The following tests could be conducted:

- **Exception testing:** Identify receipts submitted exceeding the maximum rate (i.e., as per company policy). Identify sales personnel without any expense claims (they could be fictitious employees).
- **Statistical sampling:** Select sample of expense claims and ensure that they comply with company policies and are approved by the appropriate personnel.
- **Duplicates testing:** Identify duplicate expense claims.

Cut-off

The following test could be conducted:

- Check if there are expenses claimed by the employee after the date of termination.

6.3.3 Payroll

Mechanical Accuracy and Valuation

The following tests could be conducted:

- Re-perform calculation of net pay.
- Recalculate the allocation of shares to a company pension plan based on the prescribed formula.
- Recalculate investment income allocated to each employee.

Analysis

The following analyses could be conducted:

- Summarize payroll expenses (e.g., by distribution category).
- Perform month-to-month or year-to-year comparisons (e.g., number of employees, hours worked, and gross pay).
- Determine the impact of the early retirement program within given areas. For example, areas with a significant number of early retirees could face a severe shortage of resources to achieve specified goals.
- Identify hiring needs based on departures.

Existence and Validity

The following tests could be conducted:

- **Exception testing:**
 - Analyze the stream of payments and extract unusual items (e.g., excessive hours and rates).
 - Identify blank or invalid Social Insurance Numbers.
 - Identify employees without standard information (e.g., location, email, and extension).
 - Identify employees without pay, negative pay, or without deductions.
- **Statistical sampling:** Select a statistical sample of payments for compliance and/or substantive verification against supporting documentation in personnel files.
- **Duplicates testing:** Identify duplicate Social Insurance Numbers.

Completeness

The following tests could be conducted:

- **Gap detection:** Identify gaps within sequence of employee numbers and obtain explanations for those gaps.
- **Matching:** Match gaps in employee numbers against list of terminated employees.

Cut-off

The following test could be conducted:

- Check for payments to employees after the date of termination and follow up to ensure the payments were justified.

6.3.4 Access Controls

The following analyses could be conducted to test the effectiveness of access controls:

Analysis

- Summarize access privileges by employee and determine whether employees have incompatible access privileges (to ensure that segregation of incompatible functions is enforced).
- Summarize employee access privileges and determine whether employees have greater access privileges than they need to perform their jobs (to ensure that the principle of least privilege is enforced).
- Summarize system accesses outside of normal business hours by employee and determine whether there is unusual activity that needs to be followed up.

Exception Testing

- Identify user accounts that deviate from the prescribed password policy.
- Identify user accounts that do not correspond to the normal naming conventions.
- Identify inactive or dormant accounts (i.e., access codes that have not been used within the past 3-6 months. Such accounts should be purged from the system to prevent their abuse).

Statistical Sampling

- Select sample of employees and check that they were properly screened prior to being given access to sensitive information.
- Select sample of accesses and trace to current employee file. Match user profiles and privileges documented in the employee file to the user profile maintained in the operating system (to ensure that only authorized personnel have access to the system and that the privileges in effect do not exceed those granted by the business unit).

Duplicates Testing

- Identify employees with multiple access codes and determine whether all codes are needed. (Extra/infrequently used codes represent a security risk).

Matching

- Reconcile vendors listed in master file to independent authorized list of vendors (to ensure that systems personnel have not bypassed normal master file authorization procedures).
- Summarize all users accessing the system and match users accessing the system to employee file.

Cut-off

- Check list of terminated employees against users accessing the system after the date of termination.

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